

INSURANCE AND PENSIONS COMMISSION

REPORT ON

ipec

SHORT TERM INSURERS AND REINSURERS

FOR THE QUARTER ENDED 31 MARCH 2012

Contents

1.	LIST OF ACRONYMS AND ABBREVIATIONS	3
2.	EXECUTIVE SUMMARY	4
	SECTION A.....	5
3.	SHORT-TERM INSURANCE COMPANIES	5
3.1.	UPDATE ON NUMBER OF OPERATIONAL INSTITUTIONS.....	6
3.2.	BUSINESS WRITTEN.....	6
3.3.	EARNINGS	8
3.4.	CAPITALIZATION	9
3.5.	ASSET QUALITY	11
3.6.	MARKET SHARE FOR SHORT-TERM INSURERS.....	12
3.7.	REINSURANCE	14
	SECTION B.....	16
4.	REINSURANCE COMPANIES.....	16
4.1.	UPDATE ON NUMBER OF OPERATIONAL INSTITUTIONS.....	17
4.2.	BUSINESS WRITTEN.....	17
4.3.	EARNINGS	19
4.4.	CAPITALIZATION	20
4.5.	ASSET QUALITY	21
4.6.	MARKET SHARE FOR REINSURERS.....	22
4.7.	RETROCESSION	24
	SECTION C.....	26
5.	INSURANCE BROKERS.....	26
	SECTION D	27
6.	APPENDICES	27

1. List of Acronyms and Abbreviations

GPW	–	Gross Premium Written
NPW	–	Net Premium Written
IBNR	–	Incurred But Not Reported
ROE	–	Return on Equity
NEP	–	Net Earned Premium
O/S	–	Outstanding
UPR	–	Unearned Premium Reserve
IPEC/Commission	–	Insurance and Pensions Commission

NOTE: Unless stated otherwise, all monetary figures are in United States Dollars

2. Executive Summary

This report details the performance of the short term insurance industry during the quarter ended 31 March 2012. The number of registered and operational short term direct insurers remained twenty six (26) whilst the number of registered and operational short term reinsurers increased from 8 to 9 following commencement of operations by Zep Re (PTA Reinsurance Company).

The direct short term insurers reported gross premium written of \$66.88 million for the quarter ended 31 March 2012, compared to \$49.42 million reported in the comparative period in 2011. Short term reinsurers, on the other end reported a 46.11% growth in gross premium written from \$18.89 million for the quarter ended 31 March 2011 to \$27.59 million for the quarter under review. Notwithstanding the increase in the volumes of business underwritten, both direct short term insurers and reinsurers reported decreases in profitability emanating mainly from increases in commission as well as unrealized losses from valuation of equities, respectively. Profit before tax for short term insurers decreased by 66.36% from \$5.19 million for the quarter ended 31 March 2011 to \$1.75 million for the quarter under review. On the other hand, profit before tax for short-term reinsurers decreased from \$4.73 million for the quarter ended 31 March 2011 to \$2.85 million for the quarter ended 31 March 2012.

As at 31 March 2012, all active short term direct insurers and reinsurers complied with minimum regulatory requirements, stipulated in Statutory Instrument 183 of 2009, except Jupiter Insurance Company and Suremed Insurance Company.

Direct short term insurers and reinsurers reported a combined asset base of \$237.74 million as at 31 March 2012, which reflects an increase from \$203.19 million reported as at 31 December 2011.

Short term insurers reported average premium retention ratio of 47.5% while reinsurers reported an average retention ratio of 72.52%.

SECTION A

3. Short-Term Insurance Companies

3.1. Update on Number of Operational Institutions

The number of operating direct short term insurers remained 26, the same as at 31 December 2011. During the period under review Agricultural Insurance Company surrendered its operating licence after failing to raise the required minimum capital, whilst Export Credit Guarantee Corporation remained closed to new business.

3.2. Business Written

Total gross premium written (GPW) for the direct short term insurers during the quarter ended 31 March 2012 amounted to \$66.88 million, reflecting a 35.32% increase from \$49.42 million, generated during the same period in 2011. The growth in GPW was propelled mainly by motor, personal accident and engineering insurance, which increased by 53.43%, 86.62% and 173.81% respectively as depicted in table 2. The increase in gross premium written was attributed to the general improvement in the economic condition of the country.

Table 1: Performance Indicators (\$000)

Performance Indicator	2012:Q1	2011:Q1	% Change
Gross Premium Written	66,879	49,424	35.32%
Net Premium Written	31,798	22,481	41.44%
Net Earned Premium	23,241	19,001	22.31%
Net Claims Incurred	8,019	8,183	-2.00%
Net Commission Incurred	1,757	831	111.35%
Management Expenses	9,429	7,166	31.58%
Underwriting Profit	1,820	3,338	-45.47%
Investment Income	786	494	59.17%
Profit Before Tax	1,747	5,192	-66.36%

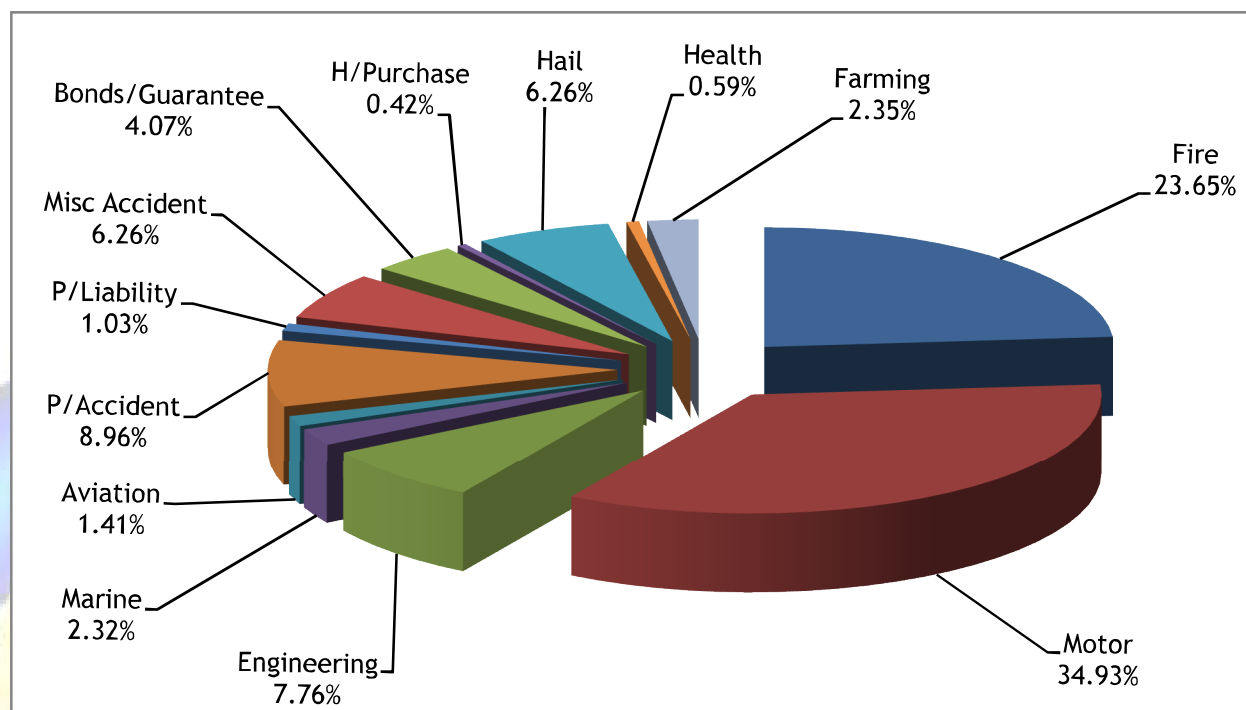
Table 2: Gross Premium Written by Class of Business

Contribution by Class	2012:Q1	2011:Q1	% Change
Fire	15,814,941	14,855,691	6.46%
Motor	23,357,567	15,223,509	53.43%
Engineering	5,186,593	1,894,247	173.81%
Marine	1,551,971	2,771,862	-44.01%
Aviation	940,699	290,596	223.71%
P/Accident	5,993,045	3,211,375	86.62%
P/Liability	687,611	592,969	15.96%
Misc Accident	4,187,345	3,043,222	37.60%
Bonds/Guarantee	2,720,171	1,699,930	60.02%
H/Purchase	283,489	420,382	-32.56%
Hail	4,187,971	4,023,220	4.10%
Health	392,769	3,905	9,958.10%
Farming	1,574,706	1,665,980	-5.48%
Total	66,878,878	49,424,306	35.32%

The main lines of short term insurance business remained motor and fire insurance accounting for 34.93% and 23.65% of total gross premium written for the quarter under review as shown in Figure 1 below. The strong growth in engineering business on account of infrastructural developments mainly in road construction has resulted in 2.61 percentage point share increase of this class of insurance business.

The proposed licensing system to be implemented by ZINARA is likely to increase the proportion of motor insurance to total GPW. The measures seek to tighten the motor licensing process hence the inevitable increase in the compulsory third party insurance.

Figure 1: Distribution of Business by Gross Premium Written



3.3. Earnings

The short term direct insurers experienced a 66.36% decrease in profit before tax from \$5.19 million for the quarter ended 31 March 2011 to \$1.75 million for the quarter under review. The decrease in profitability was attributed to increase in the net commission incurred by 111% to \$1.76 million during the quarter under review from \$0.83 million reported in the comparative period in 2011. The increase in commission incurred also contributed significantly to a 45.47% reduction in underwriting profits from \$3.34 million reported in the quarter ended 31 March 2011 to \$1.82 million dollars reported during the period under review.

The decrease in profitability is not in line with the growth in gross premium written as indicated above. This highlights the need for the market to adopt robust cost containment measures.

The direct short term insurers reported an average combined ratio of 82.63% for the quarter ended 31 March 2012, compared with 85.15% reported in the comparative period in 2011. The improvement in the combined ratio was mainly attributable to a decrease in the loss ratio from 43.06% percent for the quarter ended 31 March 2011 to 34.51% reported in the quarter under review. Net commission and net expense ratio increased from 4.37% and 37.71% for the quarter

ended 31 March 2011 to 7.56% and 40.57%, respectively, reflecting deterioration in cost containment.

3.4. Capitalization

All short-term insurers were compliant with the required minimum capital level of \$300 000 except for Jupiter Insurance Company and Suremed Insurance Company which had negative capital levels as at 31 March 2012 (See table 3). The capital positions for the two insurers worsened from the previously reported position as at 31 December 2012. At the time of writing this report, the two institutions have been directed to stop writing business and other corrective measures had been instituted to protect existing and potential policy holders.

Half of the short term insurers reported capital levels below \$1 million as at 31 March 2012. The low capitalization levels adversely affect the underwriting capacity of the insurance industry and ability for some of the players to meet claims. To promote the development of a sound insurance sector the Commission will put in place new higher minimum capital levels.

The players in the industry are being urged to start putting in place workable re-capitalization plans. There is need for players to objectively assess the capacity of the existing shareholders to raise capital and consider inviting new shareholders or to consider merging as possible options of recapitalizing.

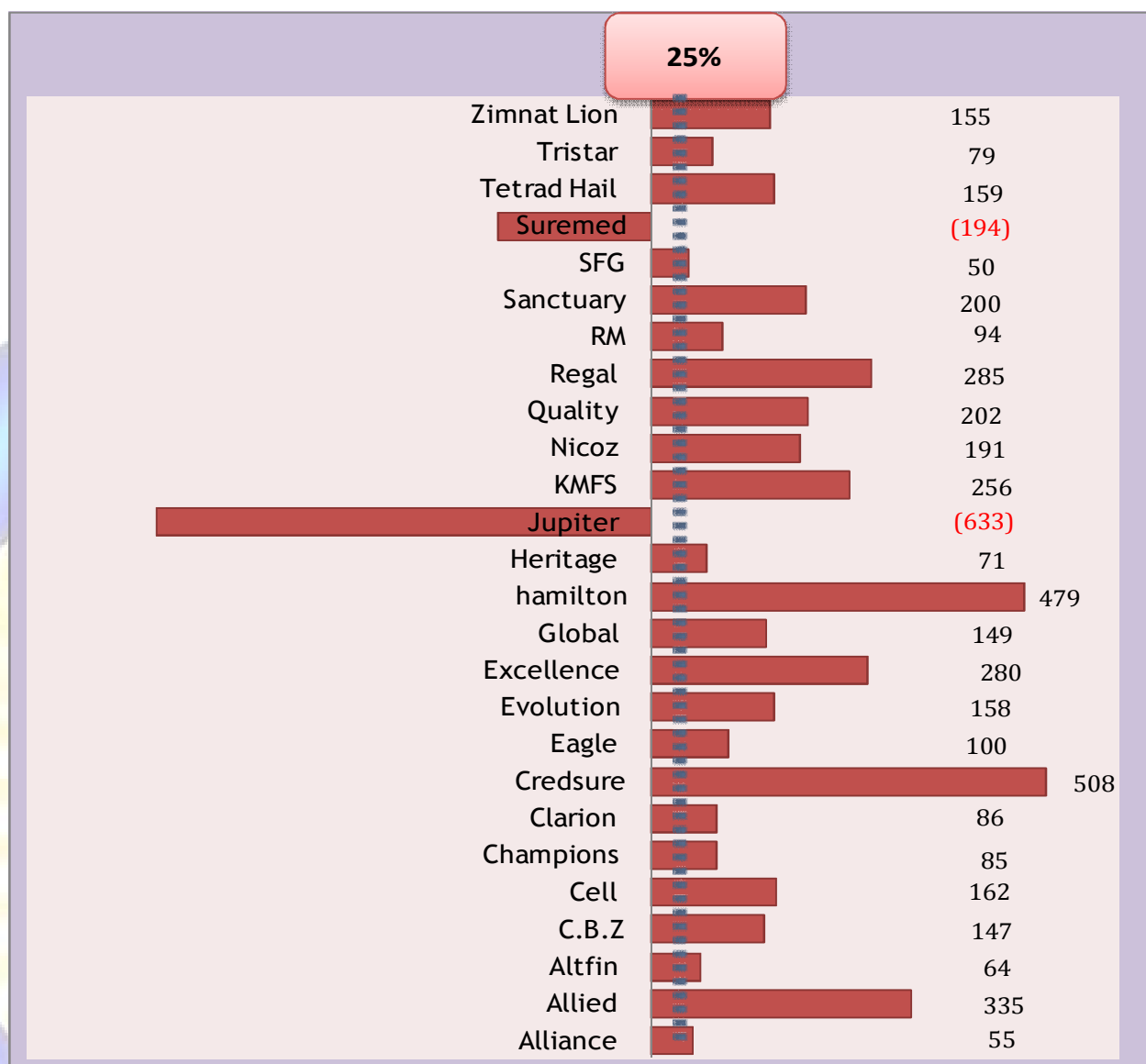
It is however of regulatory concern that more than 40% of the insurers technically are overstating their capitalization positions by not accounting for incurred but not reported reserves (IBNR) and unearned premium reserves in their books. See appendix B on statement of financial position. The failure to account for these provisions is in violation of section 25 (20 of the Insurance Act.

Table 3: Level of Capitalisation (\$ 000)

Company	Declared Capital \$(000)
Alliance	2,439
Allied	558
Altfin	1,653
C.B.Z	1,085
Cell	3,915
Champions	671
Clarion	433
Credsure	2,582
Eagle	1,808
Evolution	792
Excellence	483
Global	481
Hamilton	985
Heritage	1,106
Jupiter	(1,350)
KMFS	1,055
Nicoz	8,029
Quality	554
Regal	855
RM	4,253
Sanctuary	871
SFG	327
Suremed	(203)
Tetrad Hail	1,853
Tristar	1,103
Zimnat	2,841

Failure to reserve for IBNR and UPR results in the understating of an insurer's liabilities and hence overstating of the solvency ratio for the industry. Except for Jupiter Insurance Company and Suremed Insurance Company all insurers reported solvency ratios ranging from 50% to 355% compared to the regulatory minimum requirement of 25%.

Figure 2: Solvency Ratios (%)

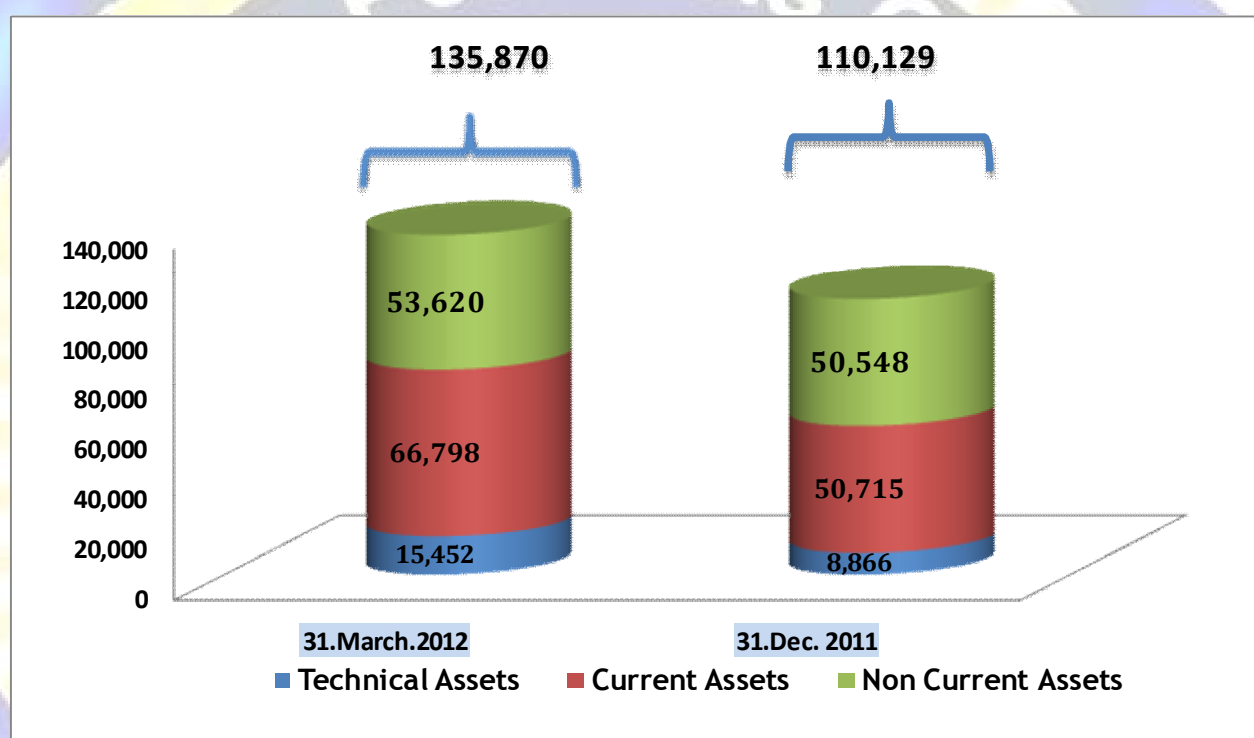


3.5. Asset Quality

There was a 23.37% increase in the total asset base for short-term insurers from \$110.13 recorded as at 31 December 2011 to \$135.87 million as at 31 March 2012. The growth in the asset base was driven mainly by the increase in current assets and technical assets from \$50.72 million and \$8.87 million as at 31 December 2011 to 66.80 million and \$15.45 million as at 31 March 2012 respectively.

The skewness of assets shifted from non-current assets to current assets as reflected by the increase in the proportion of total assets attributable to the same from 46.05% as at 31 December 2011 to 49.16% as at 31 March 2012. Premium receivables however, constituted 61.52% of total current assets for the industry as at 31 March 2012. This heightens liquidity risk as these receivables may not be readily convertible into cash to meet claims and other obligations, should the need arise. The ratio of technical assets to total assets increased from 8.05 as at 31 December 2011 to 11.37% as at 31 March 2012.

Figure 3: Assets Composition of Short-Term Insurers ('000)

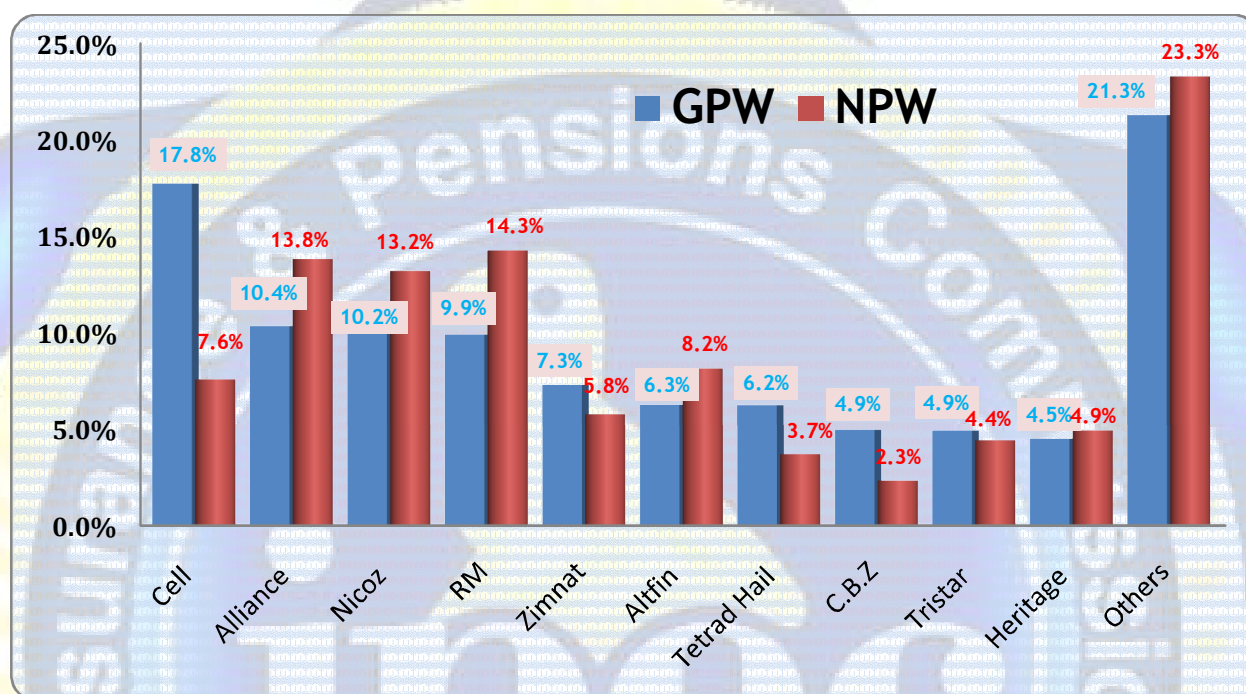


3.6. Market Share for Short-Term Insurers

The three leading direct short term insurers in terms of GPW were Cell Insurance Company, Alliance Insurance Company and Nicoz Diamond Insurance Company with market shares of 17.8%, 10.4% and 10.2% respectively. However, in terms of NPW, the top three insurers are RM Insurance Company, Alliance Insurance Company and Nicoz Diamond Insurance Company with market shares of 14.36%, 13.8% and 13.2% respectively. This indicates that Cell cedes a greater portion of its business as compared to the other top three insurers.

The calculated Herfindahl Index¹ for the period under review was 0.09 and 0.08 in terms of gross premium written and net premium written respectively implying that the direct short term insurance market remains unconcentrated, a situation which enhances more competition among insurers.

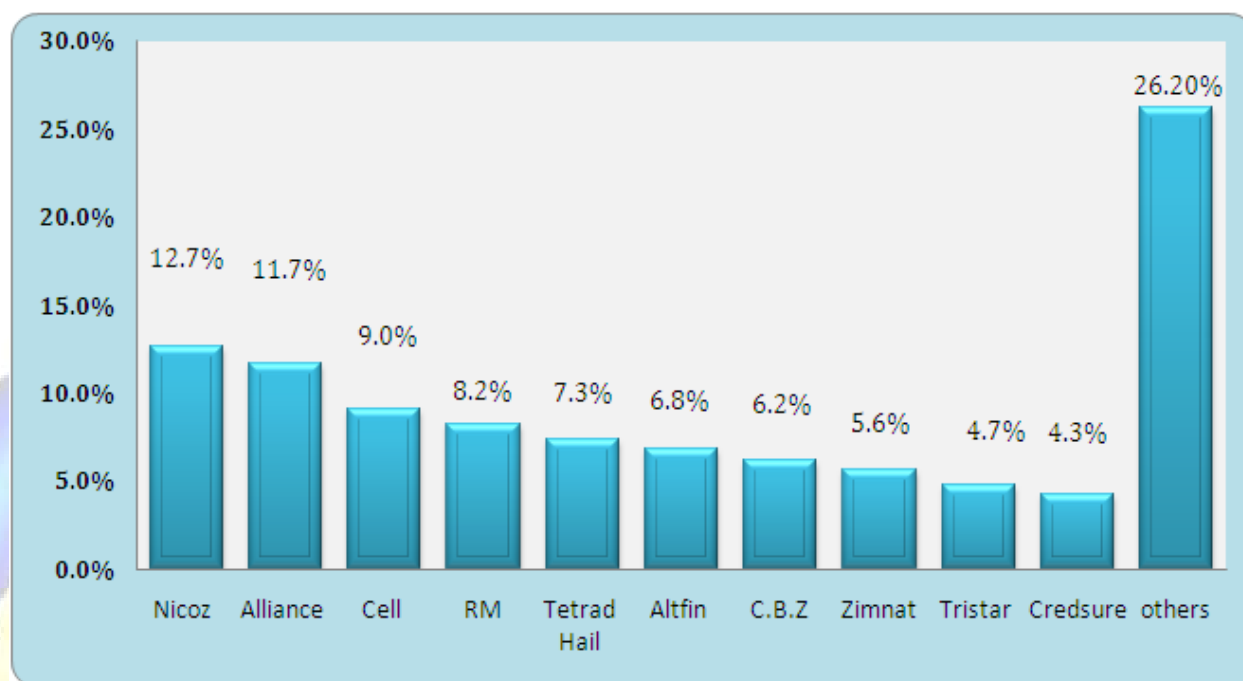
Figure 4: Market share using GPW and NPW



In terms of assets Nicos Diamond, Alliance and Cell are the leading insurers with market shares of 12.7%, 11.7% and 9.01% respectively as shown in figure 5 below.

¹ The Herfindahl Index is the sum of squared market shares of firms in an industry. An index below 0.1 indicates an unconcentrated industry, an index of 0.1 to 0.18 indicates moderate concentration and an index above 0.18 indicates high concentration.

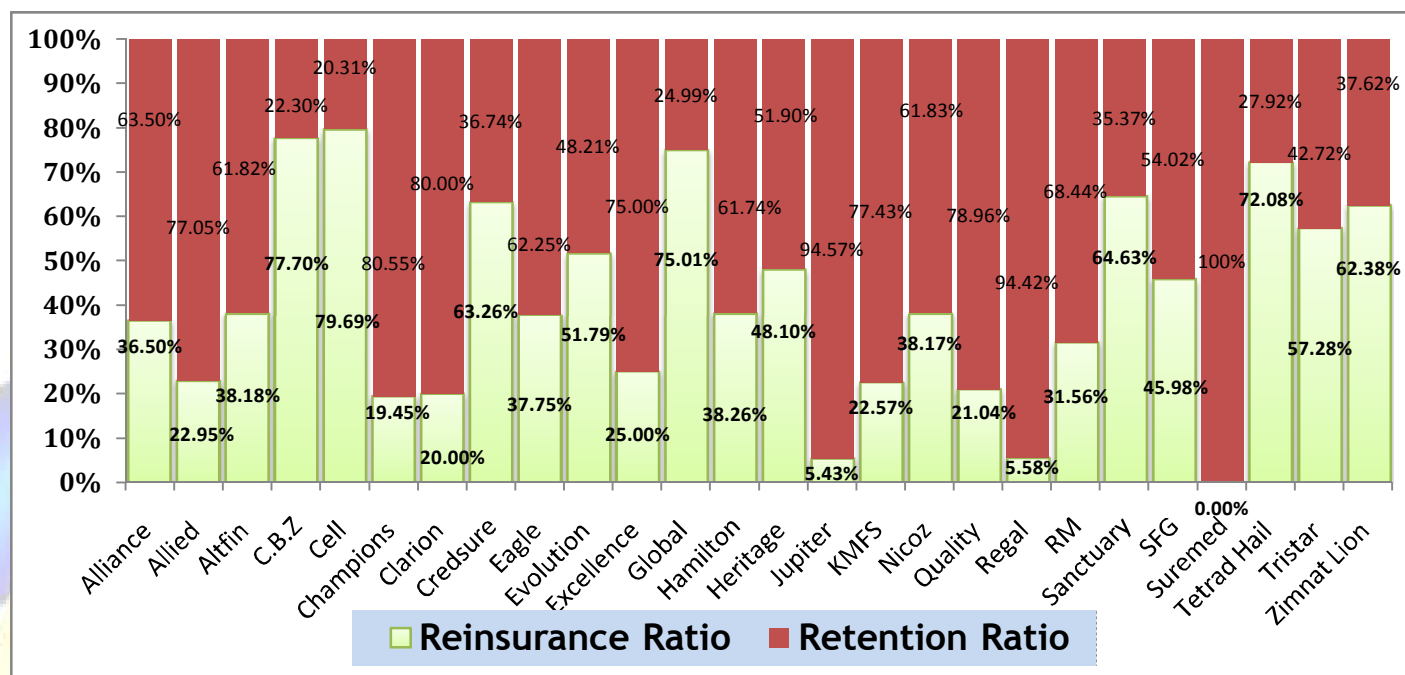
Figure 5: Market Share In Terms of Asset Base



3.7. Reinsurance

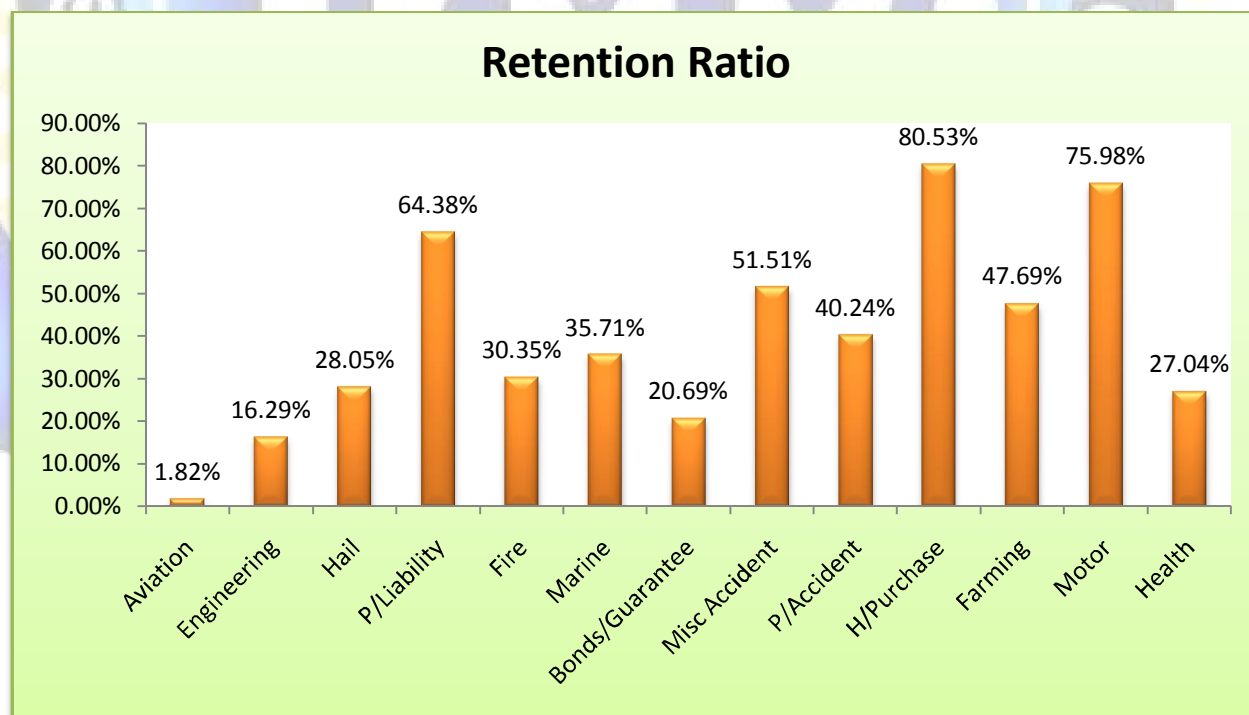
Short term direct insurers' risk appetite was lower for the quarter ended 31 March 2012 as compared to the same period of 2011. This is evidenced by the fall in the average retention ratio from 54.6% to 47.5%. It is however still of regulatory concern that some of the insurers are ceding less than 20% of their book. This was the previously legislated minimum reinsurance threshold before the Zimre Act was repealed.

Figure 6: Reinsurance/Retention for Short Term Companies



Risk appetite remains high in the hire purchase and motor insurance at 75.98% and 64.38% respectively as shown in figure 7.

Figure 7: Retention by Class



SECTION B

4. Reinsurance Companies

4.1. Update on Number of Operational Institutions

There were ten registered short-term reinsurers in the first quarter. Horizon Reinsurance Company was registered in February 2011 and is yet to open its doors to the public. The statistics in the report are based on the returns submitted by 9 reinsurers who were operational during the first quarter of 2012.

4.2. Business Written

There was significant growth of 46.11% in the Gross Premium written by the reinsurers from \$18.89 million for the quarter ended 31 March 2011 to \$27.59 million for the quarter ended 31 March 2012. Key drivers for the growth were motor, personal accident and farming insurance which recorded increase of 95.96%, 732.2% and 6754% respectively. The growth in farming insurance recorded by the reinsurers reflects that the direct reinsurers ceded most of the risk given that there was a 5.48% fall in farming insurance written by the direct insurers for the quarter under review as compared to the same period of 2011.

Table 4: Key Performance Indicators (\$ 000)

	2012:Q1	2011:Q1	% Change
Gross Premium Written	27,592	18,885	46.11%
Net Premium Written	19,879	12,164	63.43%
Net Earned Premium	13,935	9,023	54.45%
Net Claims Incurred	2,313	1,028	124.95%
Net Commission Incurred	5,472	2,673	104.68%
Management Expenses	4,562	2,617	74.33%
Underwriting Profit	2,899	3,224	-10.09%
Investment Income	921	253	263.70%
Profit Before Tax	2,859	4,725	-39.49%

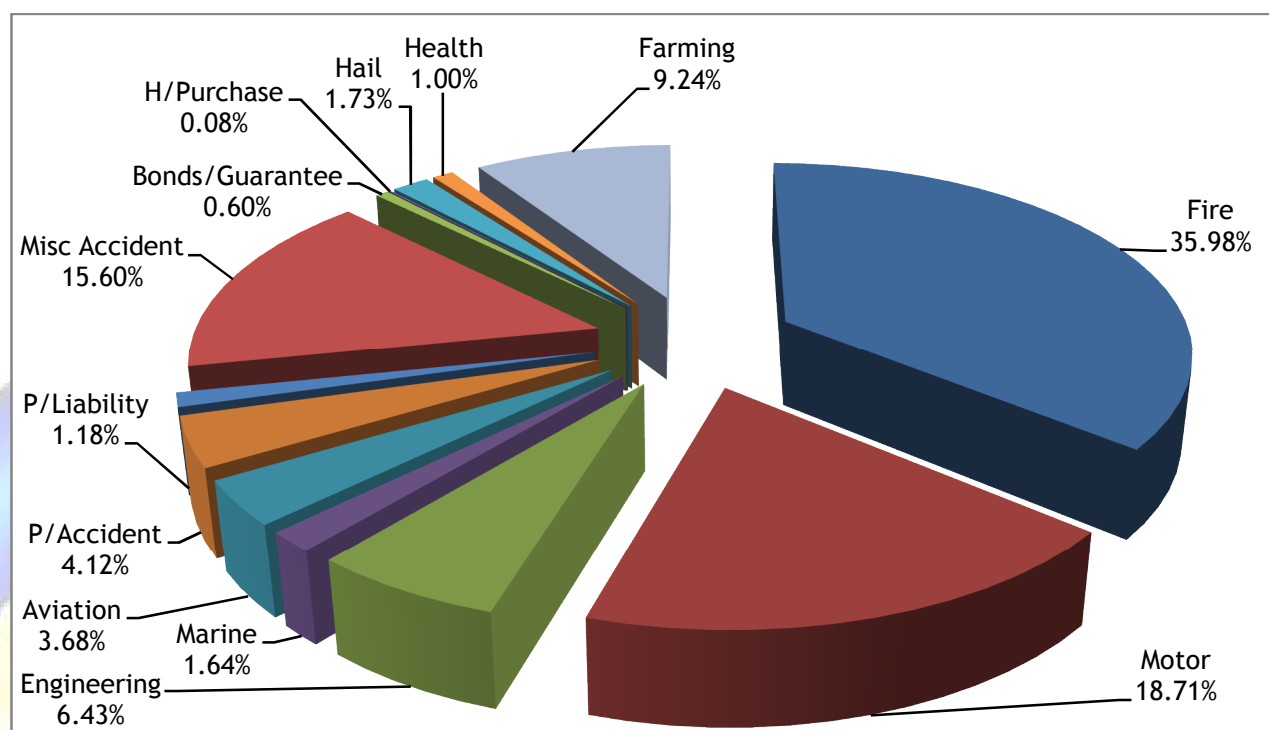
Notwithstanding the increase in the volume of business underwritten, there was a fall in bonds and guarantee insurance of 47.91%. Whilst fire insurance remained the predominant line of business accounting for 35.98% of GPW during the quarter under review the proportion of total gross premium attributable to the same business class was thirteen percentage points lower as compared to the first quarter of 2011. The percentage of business for reinsurers coming from the

miscellaneous line also fell by 4.41 percentage points to 15.6%. The marked growth in motor and farming lines resulted in the share of the business of 18.71% and 9.24% in the quarter of 2012 as compared to 14% and negligible levels recorded in the first of quarter of 2011 respectively.

Table 5: Gross Written Premiums by Class of Business

Class	2012:Q1	2011:Q1	% Change
Fire	9,928,239	9,170,280	8.3%
Motor	5,163,389	2,635,199	95.9%
Engineering	1,773,719	1,237,845	43.3%
Marine	453,226	434,945	4.2%
Aviation	1,015,216	829,433	22.4%
P/Accident	1,138,118	136,757	732.2%
P/Liability	325,285	180,584	80.1%
Misc Accident	4,303,812	3,742,018	15.0%
Bonds/Guarantee	165,729	295,522	-43.9%
H/Purchase	22,503	18,056	24.6%
Hail	477,800	67,210	610.9%
Health	274,880	99,780	175.5%
Farming	2,550,027	37,205	6,754.0%
Total	27,591,943	18,884,834	46.1%

Figure 8: Distribution of Business



4.3. Earnings

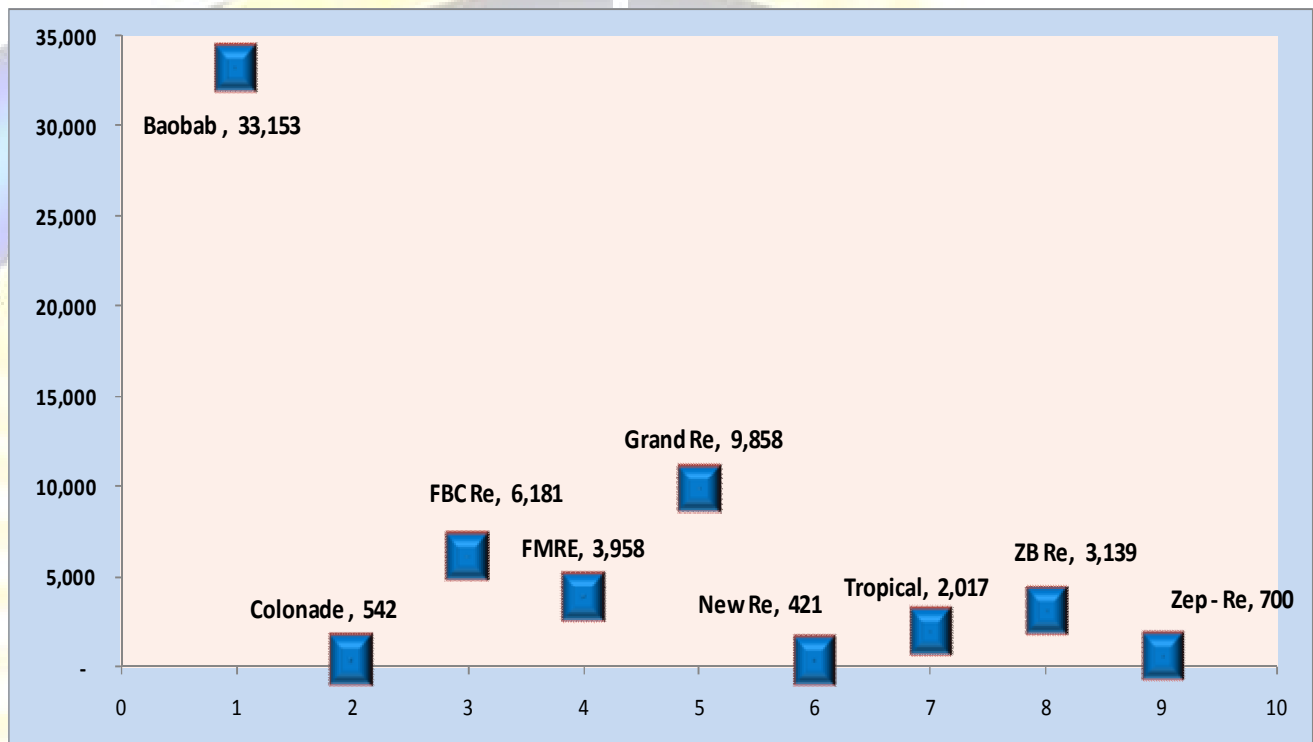
The short-term reinsurers recorded total profit before tax of \$2.85 million for the quarter ended 31 March 2012, which was 31.49% lower than that reported in the first quarter of 2011. The fall in profitability is attributed mainly to the unrealized losses in valuation of equities which amounted to \$978 000 for the quarter under view, compared to unrealized gains in valuation of equities of \$1.22 million registered for the same period of 2011.

Only three of the reinsurers reported losses before tax and two of those made underwriting losses for the period under review (See Appendix for more details). Both the underwriting margin and the combined ratios for the sector worsened from 29.97% and 70.03% to 11.12% and 88.88%. The reinsurers need to look at strategies that will assist in containing their cost to avoid for deterioration of the combined ratio.

4.4. Capitalization

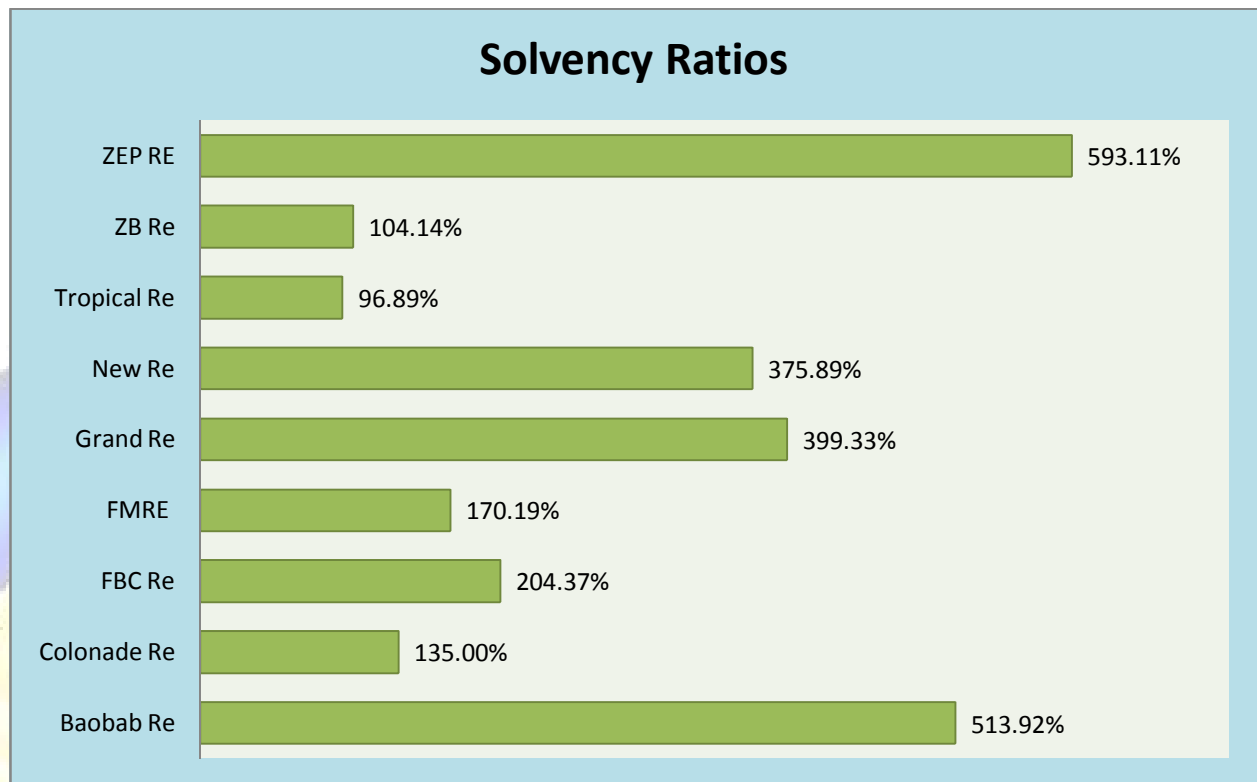
All of the nine operating reinsurers were adequately capitalised in terms of minimum capital requirement as shown in figure 9 below. The sector should however consider recapitalization options in view of the upward capital review which is likely to come into effect by the end of the third quarter.

Figure 9: Shareholders Equity (\$ 000)



The reinsurers reported solvency ratio which ranged from 104% to 593%. All the reinsurers were compliant with 25% required. The average solvency ratio of 298% was 156 percentage points lower than the figure reported in the corresponding period of 2011

Figure 10: Solvency Ratios

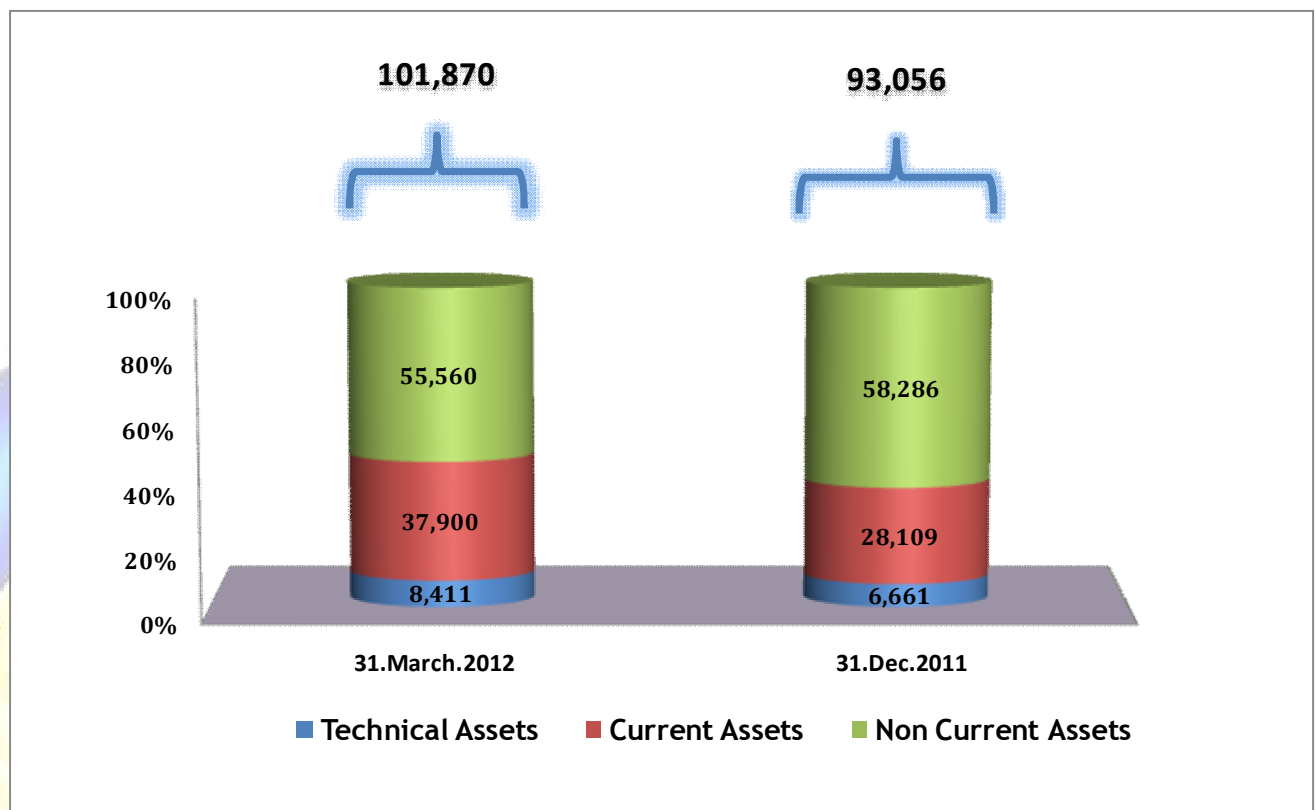


4.5. Asset Quality

The reinsurers total asset base increased by 8.65% from \$93.06 million as at 31 December 2011 to \$101.87 million dollars as at 31 March 2012.

There was a shift in the composition of assets towards current assets and technical assets from 30.21% to 37.20% and 7.16% to 8.26% respectively. Whilst this is a positive development given the nature of business, this may not necessarily translate to improvement in liquidity as 64% of the current assets are constituted by receivables premiums which may not be readily available to meet liabilities.

Figure 11: Assets of Reinsurers ('000)



4.6. Market Share for Reinsurers

Baobab Reinsurance Company continued to be the market leader with a market share of 26.6% and 32.5% and 46.7% in terms of GPW and NPW and total assets respectively. The market shares of all the other short term reinsurers are shown in figure 12 and 13 below.

The industry remained highly concentrated as depicted by Herfindahl indices of 0.19 and 0.27 in terms of NPW and asset distribution

Figure 12: Market Share by GPW/NPW

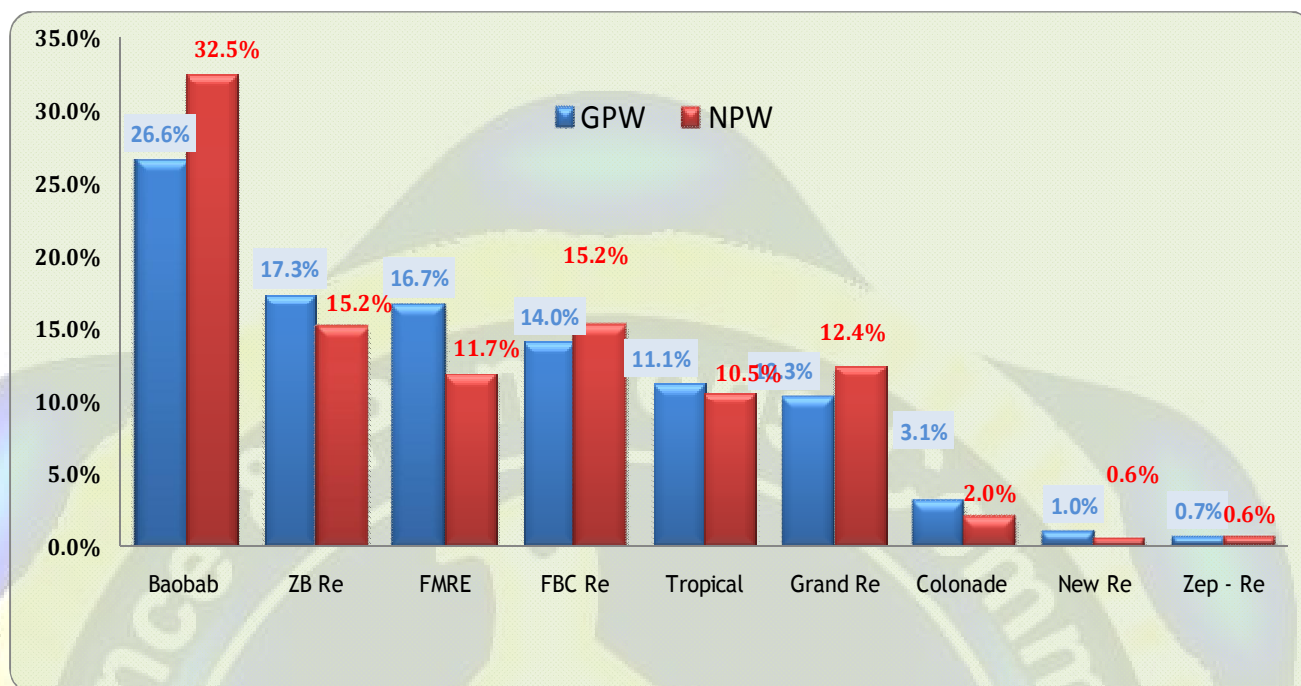
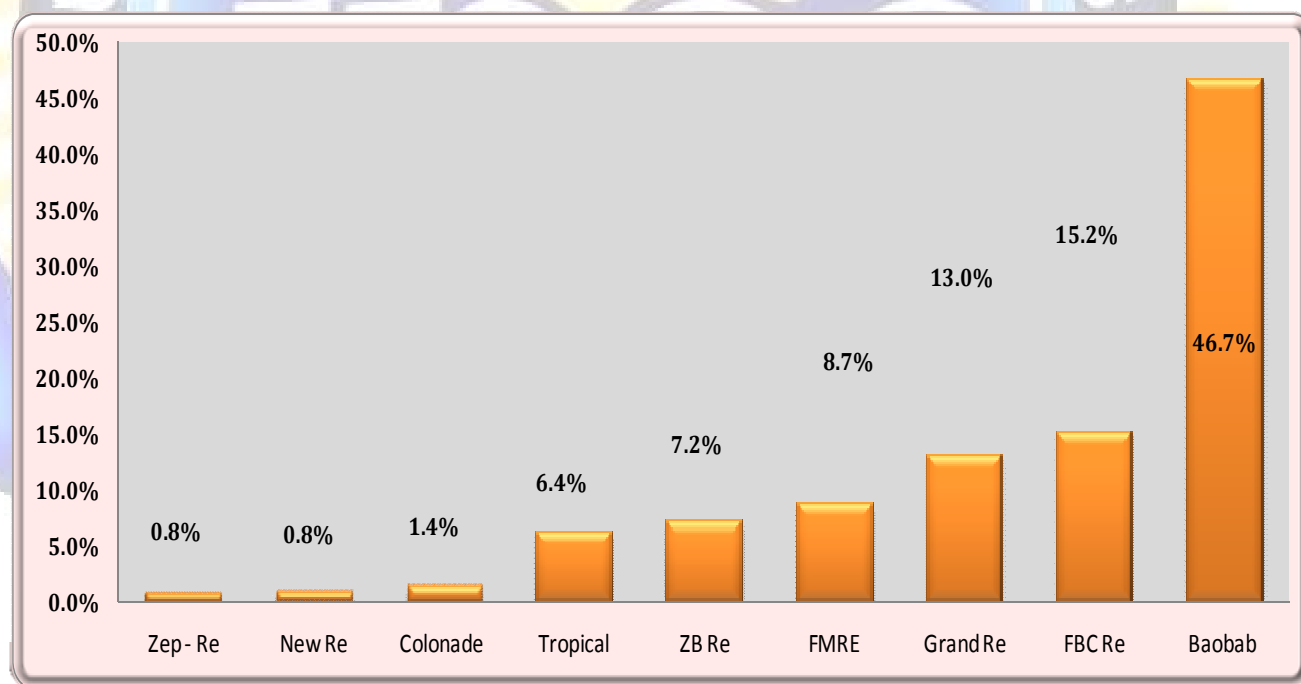


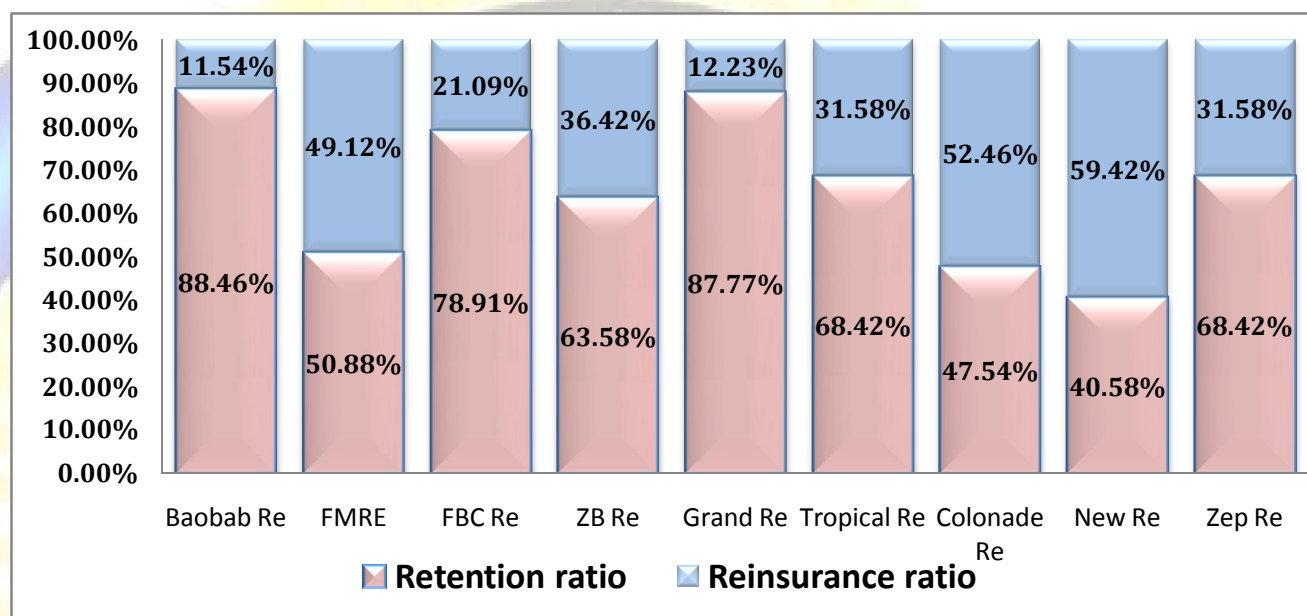
Figure 13: Market Share by Asset Distribution



4.7. Retrocession

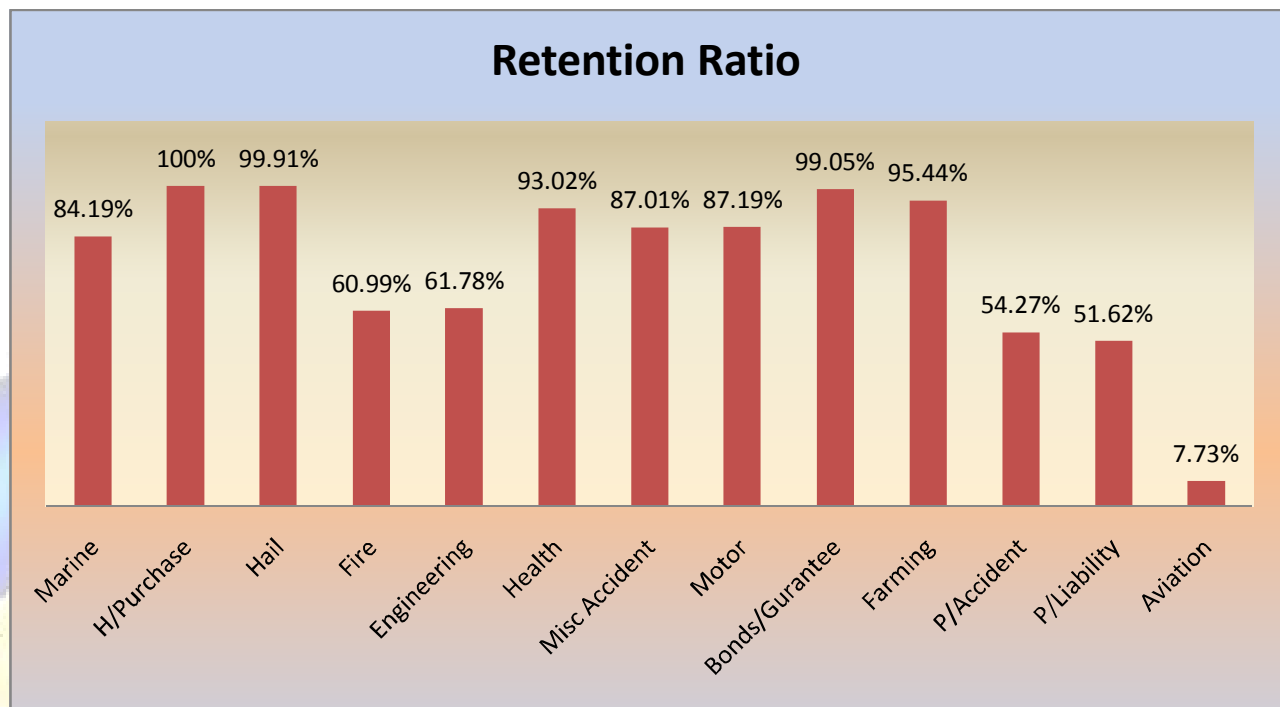
The short term reinsurers reported an average risk retention ratio of 72.52% for the quarter ended 31 March 2012, up from, 64.41% reported in the comparative period in 2011. The retention ratios for individual insurers ranged from 40.58% to 88.46%. The diagram below shows the retention/reinsurance ratios for all the short term reinsurers for the period under review.

Figure 14: Retention/Retrocession



The highest risk appetite was reported in hire purchase and bonds/guarantees as depicted in figure 15 below. The lowest risk retention ratio of 7.73% was reported in aviation insurance owing to limited capacity by the local reinsurers given the high values of sum insured in aviation insurance. Figure 15 below illustrates the risk retention ratios by classes of business.

Figure 15: Retention by Class of Business



SECTION C

5. INSURANCE BROKERS

The commission intends to hold a workshop with all insurance brokers, on a date to be specified with a view to take the said brokers through the return so that all brokers can have a common understanding on the same return in a bid to enable comparability of the figures that brokers will provide. This follows inconsistencies of the data that insurance brokers were providing on the return.



SECTION D

6. APPENDICES



	APENDIX A: Statements of Comprehensive Income US\$('000)																											
	Alliance	Allied	Altfin	C.B.Z	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	Jupiter	KMFS	Nicoz	Quality	Regal	RM	Sanctuary	SFG	Suremed	Tetrad Hall	Tristar	Zinnat	TOTAL	
GPW	6,925	216	4,196	3,304	11,889	985	628	1,383	2,905	1,038	231	1,291	333	2,998	226	533	6,794	347	318	6,630	73	1,203	105	4,178	3,266	4,886	66,879	
Reinsurance	2,528	50	1,602	2,567	9,474	192	126	875	1,097	538	58	968	127	1,442	12	120	2,593	73	18	2,092	47	553	0	3,011	1,871	3,048	35,081	
NWP	4,397	166	2,594	737	2,414	793	502	508	1,808	501	173	323	205	1,556	213	412	4,201	274	301	4,537	26	650	105	1,167	1,395	1,838	31,798	
NEP	3,322	393	1,782	522	1,454	767	377	247	1,221	406	192	231	92	1,039	198	412	2,899	235	279	3,116	14	494	105	1,167	978	1,297	23,241	
Net Incurred Claims	2,631	95	956	304	746	31	166	30	(609)	199	(58)	80	42	385	70	96	1,241	61	0	1,621	5	292	138	(1,235)	427	306	8,019	
Net Commission Incurred	596	(8)	136	(309)	(382)	113	56	(131)	(102)	27	26	15	18	39	12	9	552	47	0	468	(6)	(7)	0	503	78	8	1,757	
Technical Result	310	162	783	534	1,089	688	154	374	510	181	211	140	21	719	116	94	1,367	127	279	1,299	14	217	(33)	435	473	983	11,249	
Operating Expenses	738	105	605	318	581	477	295	321	364	74	62	133	76	434	150	143	1,161	151	285	1,110	28	419	49	407	558	383	9,429	
Underwriting Result	(428)	57	178	216	509	211	(141)	53	146	107	149	7	(55)	285	(35)	(49)	206	(24)	(6)	190	(14)	(202)	(82)	27	(85)	600	1,820	
Investment																												
Investment Income	61	1	6	28	77	20	75	15	3	6	0	14	0	20	0	0	105	4	2	54	45	0	0	202	39	8	786	
Unrealised Gains/Losses	0	0	(4)	(21)	(25)	0	0	0	2	0	0	(1)	(493)	(11)	0	0	(53)	1	0	(18)	0	3	0	0	(537)	0	(1,158)	
Other Income	19	0	0	0	80	11	0	0	17	0	0	0	0	9	0	0	0	0	0	(21)	0	5	0	0	94	75	288	
Profit Before Tax	(348)	59	180	219	639	242	(66)	68	167	113	149	20	(548)	303	(34)	(49)	275	(19)	(5)	204	31	(197)	(82)	230	(488)	683	1,747	
Key Ratios																												
Market Share % on GPW	10.4%	0.3%	6.3%	4.9%	17.8%	1.5%	0.9%	2.1%	4.3%	1.6%	0.3%	1.9%	0.5%	4.5%	0.3%	0.8%	10.2%	0.5%	0.5%	9.9%	0.1%	1.8%	0.2%	6.2%	4.9%	7.3%	100.0%	
Market Share % on NWP	13.8%	0.5%	8.2%	2.3%	7.6%	2.5%	1.6%	1.6%	5.7%	1.6%	0.5%	1.0%	0.6%	4.9%	0.7%	1.3%	13.2%	0.9%	0.9%	14.3%	0.1%	2.0%	0.3%	3.7%	4.4%	5.8%	100.0%	
Retention Ratio	63.5%	77.1%	61.8%	22.3%	20.3%	80.5%	80.0%	36.7%	62.2%	48.2%	75.0%	25.0%	61.7%	51.9%	94.6%	77.4%	61.8%	79.0%	94.4%	68.4%	35.4%	54.0%	100.0%	27.9%	42.7%	37.6%	47.5%	
NEP/ NWP	75.5%	236.0%	68.7%	70.9%	60.2%	96.7%	75.0%	48.6%	67.5%	81.2%	111.1%	71.7%	44.9%	66.8%	92.6%	100.0%	69.0%	85.8%	92.9%	68.7%	55.7%	76.1%	100.0%	100.0%	70.1%	70.6%	73.1%	
Net Claims Incurred Ratio	79.2%	24.1%	53.6%	58.1%	51.3%	4.1%	44.1%	12.2%	-49.9%	48.8%	-30.2%	34.5%	45.8%	37.1%	35.5%	23.2%	42.8%	26.0%	0.0%	52.0%	33.3%	59.0%	131.8%	-105.9%	43.6%	23.6%	34.5%	
Net Commission Ratio	17.9%	-2.2%	7.6%	-59.1%	-26.3%	14.7%	14.9%	-53.1%	-8.3%	6.7%	13.4%	6.5%	19.1%	3.7%	6.0%	2.2%	19.0%	20.0%	0.0%	15.0%	-42.5%	-1.4%	0.0%	43.1%	8.0%	0.6%	7.6%	
Net Expense Ratio	22.2%	26.7%	34.0%	60.9%	40.0%	62.2%	78.4%	130.0%	29.8%	18.2%	32.4%	57.3%	82.8%	41.7%	76.1%	34.7%	40.0%	64.3%	102.2%	35.6%	192.4%	84.8%	46.8%	34.9%	57.1%	29.6%	40.6%	
Combined Ratio	119.4%	48.7%	95.2%	59.9%	65.0%	81.0%	137.5%	89.1%	-28.4%	73.7%	15.6%	98.3%	147.8%	82.5%	117.6%	60.1%	101.9%	110.2%	102.2%	102.6%	183.2%	142.4%	178.6%	-27.8%	108.7%	53.8%	82.6%	
Underwriting Margin	-19.4%	51.3%	4.8%	40.1%	35.0%	19.0%	-37.5%	10.9%	128.4%	26.3%	84.4%	1.7%	-47.8%	17.5%	-17.6%	39.9%	-1.9%	-10.2%	-2.2%	-2.6%	-83.2%	-42.4%	-78.6%	127.8%	-8.7%	46.2%	17.4%	

	Statement of Financial Position- Direct Short- Term Insurers US\$'000																											
	Alliance	Allied	Altfin	C.B.Z	Cell	hampions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	Jupiter	KMFS	Nicoz	Quality	Regal	RM	Sanctuary	SFG	Suremed	Tetrad Hall	Tristar	Zimnat	TOTAL	
ASSETS																												
Non-Current Assets																												
Fixed Assets	831	437	435	115	534	854	209	2,095	2,516	209	245	298	314	1,360	301	106	1,668	331	756	1,305	36	866	12	0	345	3,196	19,375	
Investments	4,756	124	1,523	585	235	224	402	421	210	117	353	458	761	244	0	782	7,180	775	1	5,455	845	203	174	3,073	4,041	1,302	34,245	
	5,587	561	1,958	700	769	1,078	612	2,516	2,726	326	598	757	1,076	1,603	301	888	8,848	1,106	757	6,760	881	1,069	185	3,073	4,386	4,498	53,620	
Technical Assets																												
Reinsurers' Share of O/S Claims	411	0	484	397	1,466	0	0	0	473	136	7	0	0	0	0	0	0	9	0	161	3	1,447	0	2,842	0	0	7,836	
Unearned Commision Reserve	857	0	657	3,364	34	0	0	0	130	68	1	157	0	351	0	0	833	0	0	669	1	32	0	0	46	417	7,616	
	1,267	0	1,141	3,761	1,500	0	0	0	603	204	8	157	0	351	0	0	833	9	0	830	4	1,479	0	2,842	46	417	15,452	
Current Assets																												
Premium Receivables	6,860	645	4,933	2,564	2,269	509	866	2,544	939	432	52	237	113	2,083	9	918	6,000	76	432	1,078	58	2,578	279	1,135	1,357	2,129	41,094	
Other Debtors & Inventory	1,508	23	948	14	2,471	231	0	609	705	127	14	29	11	749	0	69	298	23	0	1,757	0	101	0	653	517	209	11,064	
Accrued Investment income	0	0	0	0	0	0	0	0	0	0	0	0	0	352	0	0	0	0	0	34	38	0	0	0	0	0	424	
Cash & cash equivalents	577	96	176	1,349	5,210	157	133	107	(4)	479	34	17	29	502	11	64	1,168	7	45	709	0	189	13	2,250	86	810	14,215	
	8,945	764	6,057	3,927	9,949	898	999	3,260	1,641	1,039	101	283	153	3,685	20	1,051	7,466	106	477	3,578	96	2,867	293	4,038	1,959	3,147	66,798	
TOTAL ASSETS	15,799	1,325	9,156	8,388	12,218	1,976	1,611	5,776	4,970	1,568	707	1,197	1,229	5,639	321	1,939	17,147	1,221	1,234	11,168	982	5,415	478	9,953	6,391	8,062	135,870	
LIABILITIES																												
Deferred Tax Liabilities	0	0	123	0	0	57	17	515	(165)	83	49	13	0	0	0	102	147	15	28	0	0	50	0	0	129	220	1,383	
Long Term loan	0	13	0	72	0	836	0	0	0	0	0	0	0	0	0	0	1,298	0	0	0	51	136	325	0	0	1,000	3,731	
Current Tax provisions	28	0	41	110	67	57	9	620	9	68	85	3	12	132	0	59	(66)	64	91	210	1	6	0	111	305	(31)	1,989	
Gross Outstanding Claims	1,186	0	1,589	782	0	0	0	0	716	0	25	79	0	511	0	0	1,296	0	0	0	0	0	0	4,056	851	760	11,851	
IBNR	2,668	180	0	0	4,189	80	0	0	0	154	0	0	22	0	1,654	278	0	52	16	1,611	6	1,419	112	0	0	0	12,443	
UPR	4,283	0	2,765	4,034	0	0	509	0	1,307	402	10	362	113	1,753	0	444	4,163	0	0	0	0	0	0	0	1,151	1,658	22,955	
Unearned Premium	0	361	0	0	324	0	0	0	0	0	0	0	0	0	16	0	0	476	21	4,391	11	641	0	0	0	0	6,242	
Reinsurance & Other Creditors	5,195	208	2,630	1,985	3,723	242	0	2,058	267	28	32	208	56	2,133	0	0	2,280	24	106	0	32	2,211	0	3,011	1,939	1,534	29,903	
Other Creditors	0	5	355	320	0	33	643	0	1,028	40	22	52	41	44	2	0	0	36	118	629	9	624	244	921	914	81	6,162	
TOTAL LIABILITIES	13,360	767	7,503	7,303	8,303	1,306	1,178	3,194	3,162	776	223	716	244	4,574	1,671	884	9,118	667	379	6,842	110	5,088	681	8,100	5,288	5,221	96,659	
SHAREHOLDERS' EQUITY																												
Share Capital	301	68	300	51	620	382	300	2	1	120	300	33	500	500	305	400	2,797	120	320	300	100	465	300	1,000	0	553	10,135	
Share Premium	0	446	625	590	0	0	0	455	0	7	167	294	1,500	0	0	637	3,184	0	0	0	700	1,457	9	170	0	0	10,241	
Revaluation & Other Reserves	1,141	0	422	0	715	36	111	1,537	2,937	0	0	134	0	177	178	0	0	49	265	1,339	0	298	0	344	2,498	1,693	13,873	
Retained Profit	998	44	306	445	2,581	253	22	588	(1,130)	665	17	20	(1,015)	429	(1,833)	18	2,048	385	270	2,614	71	(1,892)	(512)	338	(1,395)	596	4,930	
Shareholders's Equity	2,439	558	1,653	1,085	3,915	671	433	2,582	1,808	792	483	481	985	1,106	(1,350)	1,055	8,029	554	855	4,253	871	327	(203)	1,853	1,103	2,841	39,179	
TOTAL EQUITY & LIABILITIES	15,799	1,325	9,156	8,388	12,218	1,976	1,611	5,776	4,970	1,568	707	1,197	1,229	5,680	321	1,939	17,147	1,221	1,234	11,095	982	5,415	478	9,952	6,391	8,062	135,838	
Key Ratios																												
Shareholders' Equity / NWP	55.5%	335.3%	63.7%	147.3%	162.2%	84.5%	86.2%	508.1%	100.0%	158.2%	279.6%	149.0%	0.0%	71.1%	-632.8%	255.8%	191.1%	202.2%	284.6%	93.7%	3367.5%	50.3%	-193.9%	158.8%	79.0%	154.6%	123.2%	
% of Debtors / Total Assets	43.4%	48.7%	53.9%	30.6%	18.6%	25.8%	53.8%	44.0%	18.9%	27.6%	7.4%	19.8%	9.2%	36.9%	2.8%	47.3%	35.0%	6.2%	35.0%	9.7%	5.9%	47.6%	58.4%	11.4%	21.2%	26.4%	30.2%	
% of Investments / Total Asset	30.1%	9.4%	16.6%	7.0%	1.9%	11.4%	25.0%	7.3%	4.2%	7.4%	50.0%	38.3%	62.0%	4.3%	0.0%	40.3%	41.9%	63.5%	0.1%	48.8%	86.1%	3.7%	36.3%	30.9%	63.2%	16.2%	25.2%	

APENDIX B: Statement of Comprehensive Income-Reinsurers US\$ '000

	Baobab	Colonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	ZEP-Re	Total
Gross Written Premiums	7,293	844	3,833	4,570	2,812	276	3,043	4,740	181	27,592
Reinsurance Premiums	842	443	808	2,245	344	164	961	1,726	63	7,595
Net Written Premiums	6,451	401	3,025	2,325	2,468	112	2,082	3,014	118	19,997
Net Earned Premiums	4,490	293	2,118	1,851	1,478	98	1,664	1,944	71	14,006
Net Incurred Claims	96	10	692	266	389	7	576	278	24	2,338
Net Commission Incurred	1,870	84	1,027	448	641	29	506	867	24	5,496
Technical Result	3,260	198	651	1,136	688	62	666	800	36	7,497
Operating Expenses	1,951	130	424	817	355	74	175	636	54	4,616
Underwriting Result	1,309	68	226	319	334	(12)	491	163	(17)	2,881
Investment										
Investment Income	20	9	165	628	(5)	0	36	67	15	936
Unrealised Gains/Losses	13	0	(19)	(973)	0	1	0	0	0	(978)
Other Income	0	0	1	0	0	0	0	0	0	1
Profit Before Tax	1,342	77	391	(27)	329	(11)	527	231	(2)	2,857
Key Ratios										
Market Share based on GWP	26.4%	3.1%	13.9%	16.6%	10.2%	1.0%	11.0%	17.2%	0.7%	100.0%
Market Share based on NWP	32.3%	2.0%	15.1%	11.6%	12.3%	0.6%	10.4%	15.1%	0.6%	100.0%
Retention Ratio	88.5%	47.5%	78.9%	50.9%	87.8%	40.6%	68.4%	63.6%	65.4%	72.5%
NEP/ NPW	69.6%	72.9%	70.0%	79.6%	59.9%	87.5%	79.9%	64.5%	60.0%	70.0%
Net Claims/NEP	2.1%	3.6%	32.7%	14.4%	26.3%	7.1%	34.6%	14.3%	34.2%	16.7%
Net Commission Ratio	41.6%	28.7%	48.5%	24.2%	43.4%	29.6%	30.4%	44.6%	34.1%	39.2%
Net Expense Ratio	43.5%	44.5%	20.0%	44.2%	24.0%	75.5%	10.5%	32.7%	75.8%	33.0%
Combined Ratio	87.2%	76.7%	101.2%	82.8%	93.6%	112.2%	75.5%	91.6%	144.0%	88.9%
Underwriting Margin	12.8%	23.3%	-1.2%	17.2%	6.4%	-12.2%	24.5%	8.4%	-44.0%	11.1%

Statement of Financial Position-Reinsurers US\$'000

	Baobab	Colonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	ZEP-Re	Total
ASSETS										
Non-Current Assets										
Fixed Assets	1,438	0	372	129	597	177	196	710	80	3,619
Investments	31,494	360	3,220	4,668	8,564	384	1,942	1,308	600	51,941
	32,932	360	3,592	4,797	9,161	561	2,138	2,018	680	55,560
Technical Assets										
Reinsurers' Share of Outstanding	0	0	4,004	0	172	0	0	0	10	4,176
Provision for Unearned Commis	2,079	0	910	484	761	0	0	0	14	4,234
	2,079	0	4,914	484	933	0	0	0	0	8,411
Current Assets										
Premium Receivables	8,445	988	2,782	2,455	2,707	183	2,867	3,682	0	24,108
Other Debtors & Inventory	3,638	9	131	115	0	73	694	250	0	4,910
Accrued Investment Income	11	0	84	19	0	0	324	0	15	439
Cash & cash equivalents	796	45	4,053	1,032	557	54	504	1,403	57	8,444
	12,890	1,042	7,049	3,620	3,264	310	4,389	5,335	72	37,900
TOTAL ASSETS	47,901	1,402	15,556	8,901	13,359	871	6,527	7,354	752	101,870
LIABILITIES										
Deferred Tax Liabilities	296	0	(675)	(255)	51	0	0	559	0	(24)
Current Tax provisions	340	0	24	0	(12)	6	317	(54)	0	621
Long term loan	0	0	0	0	300	0	0	0	0	300
IBNR	1,589	0	0	326	598	0	511	433	0	3,456
Gross Outstanding Claims	0	8	5,408	0	0	62	0	215	28	5,693
UPR	0	151	2,648	0	0	272	0	2,305	47	5,376
Unearned Premiums	5,544	0	0	1,855	2,153	0	1,618	0	0	11,170
Reinsurance & Other Creditors	5,033	0	1,970	233	208	110	2,022	757	0	10,333
Other Creditors	1,945	701	0	536	159	0	41	0	0	3,382
TOTAL LIABILITIES	14,748	860	9,375	2,694	3,457	450	4,509	4,215	75	40,308
SHAREHOLDERS' EQUITY										
Share Capital	400	5	600	1	400	400	227	5	702	2,038
Share Premium	23,972	548	2,203	3,004	0	0	0	495	0	30,222
Revaluation & Other Reserves	7,841	0	3,225	254	5,246	95	0	11	(2)	16,671
Retained Profit	939	(11)	153	700	4,212	(74)	1,791	2,628	0	10,338
Shareholders's Equity	33,153	542	6,181	3,958	9,858	421	2,017	3,139	700	59,268
TOTAL EQUITY & LIABILITIES	47,901	1,402	15,556	6,652	13,314	871	6,527	7,354	775	99,577
Key Ratios										
Shareholders' Equity / NWP	513.9%	135.0%	204.4%	170.2%	399.3%	375.9%	96.9%	104.1%	593.1%	298.1%
% of Debtors / Total Assets	17.6%	70.5%	17.9%	27.6%	20.3%	21.0%	43.9%	50.1%	0.0%	23.7%